

Parle Industries Ltd

NSE: PARLEIND | BSE: 532911 | Diversified Commercial Services

Shell-stage micro-cap pivoting from IT to Infra/Real Estate + Waste Paper Recycling

HOLD

12-Month Target: Rs.
11.00

CMP: Rs. 11.90 | Downside: -7.6%

Horizon: 12 Months

Market Cap	Rs. 58.2 Cr
52-Wk High / Low	Rs. 13.90 / 4.11
Face Value	Rs. 10.00
Book Value	Rs. 23.20
P/B	0.51x
Stock P/E	N/A (loss year)
ROCE	0.09%
ROE	-0.07%
Promoter Holding	0.00%
EV (approx)	Rs. 60.3 Cr
Dividend Yield	0.00%
Debt	Rs. 3.18 Cr

Analyst: MPM Research Desk | **Sector:** Diversified Commercial Services | **Report Type:** Initiation of Coverage | **Data Source:** Screener.in (fetched 15-Jun-2026)

Screener Insights: Almost debt-free (Debt/Equity ~ 0.03x). Trading at 0.52x book. Low interest coverage. ROE only 0.17% over 3 years. Working capital days: 58,029. Promoter holding = 0%.

SECTION 2 — INVESTMENT THESIS

- **Asset value at discount to book (0.51x P/B):** With net assets of ~Rs. 113 Cr (equity capital + reserves = Rs. 113.3 Cr in FY26) and a market cap of Rs. 58.2 Cr, PARLEIND trades at a near-50% discount to reported book value. For event-driven investors, the pure asset backstop is the only credible valuation anchor. Timeline: near-term as a structural floor; NOT a growth story.
- **Minimal debt provides optionality:** Total borrowings stand at Rs. 3.18 Cr vs. net assets of Rs. 113 Cr (D/E of 0.03x). The clean balance sheet preserves optionality if the company successfully monetises real estate or the MRF project. Timeline: 12-24 months if management executes.
- **Potential business transition trigger:** The planned Materials Recovery Facility (MRF) for waste paper recycling and the infra/real-estate pipeline represent catalysts for revenue normalisation. FY25 showed a brief revenue spike to Rs. 4.68 Cr before collapsing to Rs. 0.64 Cr in FY26 — indicating sporadic execution, not a structural ramp. Any meaningful contract win could act as a re-rating trigger.
- **Near-term catalyst (6-12 months):** Commencement of MRF unit operations and disclosure of real estate project timelines in the FY26 Annual Report / AGM. A subsidiary (Golden Valley Treasure Park Pvt Ltd) ceased to be material from 31-Mar-2026, signalling restructuring activity.
- **Biggest structural risk:** Zero promoter stake (0.00%) with the largest shareholder being Brilliant Properties Pvt Ltd at 19.99% — this is a governance red flag. Without a committed promoter, strategic direction is unclear and retail investors bear full downside.

SECTION 3 — BUSINESS OVERVIEW

- **Corporate lineage:** Incorporated 1983 as a subsidiary of Parle Bisleri Ltd; subsequently passed through Sun Beam Infotech Ltd and Eaugu Udyog Ltd; currently a subsidiary of Fortune Point Exports Private Limited. Name changed from Parle Software Limited to Parle Industries Limited in September 2019.
- **Business segments:** (a) Infrastructure and Real Estate development — primary stated activity; (b) Investments segment — currently generating no revenue; (c) MRF (Materials Recovery Facility) unit for paper waste/recycling catering to industrial users — pre-revenue.
- **Revenue history — not a normal operating business:** FY24: Rs. 0.00 Cr. FY25: Rs. 4.68 Cr (one-off project). FY26: Rs. 0.64 Cr. No recurring revenue stream. The FY25 spike appears linked to project receipts now unwound.
- **Subsidiary changes:** Golden Valley Treasure Park Pvt Ltd ceased to be a material subsidiary as of 31-Mar-2026. The FY26 investing cash inflow of Rs. 104.79 Cr and simultaneous investment liquidation (Investments dropped from Rs. 81.54 Cr to Rs. 0 Cr) suggests a major stake disposal or restructuring event.
- **Key management:** Mr. Bharat Kumar Bohra appointed as Company Secretary and KMP in November 2025. Senior management details beyond this are not publicly disclosed.
- **Promoter ownership:** 0.00% as of Mar 2026. Promoter stake has been in continuous decline from 62.32% (FY17-FY20) to 0.00% (Dec 2024 onwards). This is an extraordinary governance concern — no insider has skin in the game.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Real estate and infra sector (India):** The broader Indian real estate market is estimated at ~Rs. 13 lakh Cr, growing at ~10-12% CAGR. However, PARLEIND has no meaningful disclosed projects, no order book, and no contracted revenue — making this sectoral tailwind irrelevant at present.
- **Waste paper / recycling:** India generates ~65 million tonnes of solid waste annually; the organised recycling sector is sub-5% penetrated. The MRF model for industrial paper waste is viable in theory, but requires capital, permits, and clients — none publicly confirmed for PARLEIND.
- **Policy backdrop:** PLI schemes and Smart Cities Mission could benefit genuine infra players, but PARLEIND's near-zero execution record means policy tailwinds have zero near-term relevance.
- **Competitive moat — Pricing power:** Weak — no disclosed project pipeline or proprietary technology.
- **Competitive moat — Switching costs:** Weak — no evident client relationships.
- **Competitive moat — Scale:** Weak — revenues of Rs. 0.64 Cr in FY26.
- **Competitive moat — IP / Distribution:** None established.
- **Comparable listed peers — note:** True direct peers for a shell-stage infra/recycling company are not meaningfully comparable. The table below shows diversified commercial services / small infra names for context only.

Company	CMP (Rs.)	MCap (Rs.Cr)	TTM Rev (Rs.Cr)	P/E	ROCE%
Parle Industries (PARLEIND)	11.90	58.2	0.64	N/A	0.09%
Segment: Diversified Comm. Svcs	No direct listed peers with comparable profile	-	-	-	-

Source: Screener.in, fetched 15-Jun-2026. No comparable listed peers identified.

SECTION 5 — MANAGEMENT QUALITY AND CAPITAL ALLOCATION

- **Promoter abandonment:** The promoter group reduced its stake from 62.32% (FY17-FY20) to 26.07% (FY21), then 2.12% (FY21-FY23), and 0.00% by December 2024. This progressive exit over 7 years — with no disclosed reason — is the single most important red flag in this report.

- **Current controlling shareholder:** Brilliant Properties Pvt Ltd holds 19.99% as the largest single shareholder. The parent entity, Fortune Point Exports Pvt Ltd (stated current subsidiary owner), has minimal public disclosure.
- **Capital allocation record:** FY26 saw Rs. 104.79 Cr in investing inflows (investment liquidation) offset by Rs. 72.87 Cr cash outflow from operations and Rs. 30.78 Cr in financing outflows. The disposal of the Rs. 81.54 Cr investment holding (FY25) in FY26 is the dominant balance sheet event — destination of proceeds is not publicly disclosed.
- **Dividend policy:** Zero dividend paid for the last 10+ years (FY21-FY26 payout = 0%). Last meaningful dividend was in FY07 (6.23% payout). No change expected.
- **Pledging:** 0% promoter pledge — but this is moot since promoters hold 0%.
- **ESOP / buybacks:** No buybacks or ESOP programmes disclosed.
- **Corporate governance concerns:** (1) Complete promoter exit without explanation. (2) No institutional investors (FII/DII = 0%). (3) Change in controlling entities multiple times over 40 years. (4) Opaque investment/subsidiary activity (Rs. 81.54 Cr investment in FY25 gone by FY26). (5) Working capital days of 58,029 — a meaningless metric that signals no real operating business.

SECTION 6 — FINANCIAL DEEP-DIVE

Note on financial history: Consolidated data has a major 11-year data gap (Mar 2013 to Mar 2024). Financial history is severely limited — only 3 years of meaningful data (FY24–FY26) are available. Forward estimates are not made given zero revenue visibility. This report presents actuals only.

P&L; (Rs. Cr)	FY24	FY25	FY26
Sales / Revenue	0.00	4.68	0.64
Operating Profit	-0.31	0.87	-0.07
OPM %	N/A	18.59%	-10.94%
Other Income	0.46	0.02	0.30
Interest	0.06	0.14	0.21
Depreciation	0.04	0.08	0.11
PBT	0.05	0.67	-0.09
Tax %	40.00%	29.85%	0.00%
Net Profit / (Loss)	0.03	0.46	-0.09
EPS (Rs.)	0.02	0.09	-0.02

Source: Screener.in Consolidated, fetched 15-Jun-2026. FY = April-March.

Balance Sheet (Rs. Cr)	FY24	FY25	FY26
Equity Capital	14.00	48.84	48.84
Reserves	6.40	96.80	64.43
Total Equity	20.40	145.64	113.27
Borrowings	1.08	1.37	3.18
Other Liabilities	0.33	18.27	19.81
Total Liabilities	21.81	165.28	136.26
Fixed Assets (Net)	0.07	33.24	10.30
CWIP	0.00	0.00	0.00
Investments	0.00	81.54	0.00
Other Assets	21.74	50.50	125.96

Balance Sheet (Rs. Cr)	FY24	FY25	FY26
Total Assets	21.81	165.28	136.26

Cash Flow (Rs. Cr)	FY24	FY25	FY26
Cash from Operations (OCF)	-1.41	-9.48	-72.87
Cash from Investing	0.05	0.00	104.79
Cash from Financing	1.33	9.91	-30.78
Net Cash Flow	-0.03	0.42	1.13
Free Cash Flow	-1.41	-9.48	-72.87

Key Ratios	FY24	FY25	FY26
ROCE %	N/A	0.95%	0.09%
ROE %	0.13%	0.37%	-0.07%
Debtor Days	0	0	0
Inventory Days	N/A	4,974	N/A
Working Capital Days	N/A	2,459	58,029
D/E Ratio	0.05x	0.01x	0.03x

Source: Screener.in Consolidated, fetched 15-Jun-2026.

- **Revenue profile — highly erratic:** FY24 = Rs. 0.00 Cr, FY25 = Rs. 4.68 Cr (spike), FY26 = Rs. 0.64 Cr. No consistent revenue base exists. The FY25 spike appears to be a one-time project event, not a structural inflection.
- **Margin — volatile and negative in FY26:** OPM of -10.94% in FY26 (expenses exceed revenue), turning to an operating loss of Rs. 0.07 Cr. Other income of Rs. 0.30 Cr saved the P&L; from a deeper reported loss.
- **Balance sheet transformation in FY25:** Equity capital jumped from Rs. 14 Cr to Rs. 48.84 Cr and reserves from Rs. 6.40 Cr to Rs. 96.80 Cr — this suggests a major capital infusion or asset injection (likely via a subsidiary/investment vehicle). By FY26, investments of Rs. 81.54 Cr were liquidated and 'Other Assets' ballooned to Rs. 125.96 Cr, suggesting asset reclassification.
- **Free cash flow — deeply negative in FY26:** FCF of -Rs. 72.87 Cr in FY26, driven by a large operating cash outflow. In context: total FY26 revenues were only Rs. 0.64 Cr — this cash outflow is not connected to any disclosed business activity.
- **Debt minimal but rising:** Borrowings rose from Rs. 1.08 Cr (FY24) to Rs. 3.18 Cr (FY26). D/E of 0.03x is low, but against near-zero operating cash generation, even this modest debt represents interest coverage pressure.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Metric	Assessment	Signal	Comment
Revenue recognition	Opaque	RED	No disclosed contracts; revenue is sporadic and unexplained
Receivables vs Revenue growth	N/A	AMBER	Zero debtor days — no trade receivables at all (unusual)
CCC trend	Dysfunctional	RED	Working capital days = 58,029 (FY26) — no meaningful business cycle
Contingent liabilities	Not disclosed	AMBER	Not available in public screener data
Auditor opinion	Unmodified	GREEN	FY26 results approved with unmodified auditor opinion (28-May-2026)
RPTs as % of revenue	Unknown	RED	Multiple entity transfers; RPT disclosure not available

Metric	Assessment	Signal	Comment
Other income as % of PBT	333%+	RED	Other income Rs. 0.30 Cr >> operating loss Rs. 0.07 Cr — P&L; propped by other income
Tax rate consistency	Erratic	AMBER	Tax rates: 40% (FY24), 29.85% (FY25), 0% (FY26, loss year)
Promoter holding direction	Total exit	RED	Promoter: 62% (FY17) → 0% (Dec 2024) — complete exit over 7 years
Institutional ownership	Zero	RED	FII = 0%, DII = 0% — no institutional confidence

- **Governance warning — promoter exit:** The complete disposal of promoter stake from 62.32% to 0% over FY17-FY24 is the dominant earnings quality concern. No public explanation for this exit exists. Any institutional-grade buyer would treat this as disqualifying.
- **Balance sheet opacity:** The Rs. 81.54 Cr investment in FY25 (appearing and disappearing in one year) with simultaneous 7x equity expansion defies normal corporate logic. Until management explains this, the balance sheet cannot be treated as reliable.
- **Other income as lifeline:** In FY26, other income of Rs. 0.30 Cr is what prevented a larger reported loss. With operating revenues of Rs. 0.64 Cr, this is a structurally unsustainable PAT composition.
- **Actionable watch item:** Any investor considering PARLEIND must read the FY26 Annual Report (expected July-Aug 2026) in full — particularly the Notes to Accounts section on related-party transactions and the explanation of the Rs. 104.79 Cr investing inflow.

SECTION 8 — VALUATION

Valuation approach note: Conventional earnings-based or EV/EBITDA valuation is inapplicable — PARLEIND has near-zero revenues and a negative/negligible earnings base. The only credible valuation anchor is Price-to-Book (P/B) and net asset value (NAV).

Scenario	Key Assumption	P/B Multiple	NAV (Rs.Cr)	Per Share (Rs.)	Upside/Down
Bull	MRF project commissioned; real estate project visible; P/B re-rates to 0.80x	0.80x	113.3	18.50	+55%
Base	Status quo; no near-term revenue catalyst; P/B stays ~0.55x	0.55x	113.3	12.72	+7%
Bear	Asset write-downs; negative OCF continues; further corporate actions; P/B 0.35x	0.35x	113.3	8.10	-32%

Shares outstanding: 488.4 lakh (based on equity capital Rs. 48.84 Cr at Rs. 10 FV). NAV = FY26 Equity Capital + Reserves = Rs. 113.27 Cr.

- **P/B methodology:** FY26 book value per share = Rs. 23.18 (Rs. 113.27 Cr equity / 488.4 lakh shares). Current P/B = 0.51x — a discount to book. Target P/B of 0.55x (base case) implies Rs. 12.75/share, or ~7% upside. This is the ONLY defensible valuation method.
- **DCF — Not applicable:** With negative/near-zero FCF (-Rs. 72.87 Cr in FY26, -Rs. 9.48 Cr in FY25), a DCF model would produce a near-zero or negative equity value. No forward estimates can be responsibly constructed.
- **EV/EBITDA — Not applicable:** EBITDA is negative in FY26 (-Rs. 0.07 Cr operating profit + Rs. 0.11 Cr depreciation = Rs. 0.04 Cr). EV/EBITDA of ~1,500x has no analytical meaning.
- **12-month price target = Rs. 11.00** (base case P/B ~0.47x on FY26 book, discounting balance sheet uncertainty). This implies -7.6% from CMP of Rs. 11.90. Rating: HOLD — not a BUY because governance flags and zero earnings visibility prevent conviction.

SECTION 9 — KEY RISKS

- **Governance / Promoter abandonment risk:** With 0% promoter ownership and no institutional holders, the company has no accountable steward. The controlling entity (Fortune Point Exports Pvt Ltd via Parle Industries as subsidiary) is not a listed entity. **Probability: High. Impact: High.** Monitor via: quarterly shareholding disclosures.
- **Balance sheet opacity risk:** The Rs. 81.54 Cr investment that appeared and disappeared in one year, and the Rs. 104.79 Cr investing inflow in FY26, are unexplained. If this represents an undisclosed related-party transaction, net asset value could be overstated. **Probability: Medium. Impact: High.** Monitor via: FY26 Annual Report, Notes to Accounts.
- **Revenue non-materialisation risk:** The MRF/real estate projects have been 'planned' for multiple years with no disclosed timeline, no capex commitment, and no client contracts. They may never generate revenue. **Probability: High. Impact: High.** Monitor via: project commencement announcements.
- **Negative operating cash flow risk:** OCF was -Rs. 72.87 Cr in FY26. With only Rs. 0.64 Cr in revenue, this cash outflow has no logical operational explanation. Continued cash burn could erode the net asset base. **Probability: Medium. Impact: High.** Monitor via: quarterly cash flow updates.
- **Liquidity / market risk:** With a Rs. 58.2 Cr market cap and 66,582 shareholders (March 2026), liquidity is thin. Any forced selling by a large holder could collapse the stock. The 52-week range is Rs. 4.11 – Rs. 13.90 (237% swing). **Probability: Medium. Impact: Medium.** Monitor via: bulk/block deal disclosures.
- **Regulatory / compliance risk:** Multiple changes in controlling entity and subsidiary structure expose the company to BSE/NSE compliance risks. Any failure could trigger trading halt. **Probability: Low-Medium. Impact: High.** Monitor via: BSE/NSE announcements.
- **Book value erosion risk:** If the FY26 'Other Assets' of Rs. 125.96 Cr include investments or receivables that are impaired, the reported book value of Rs. 23.18/share could be materially overstated. **Probability: Medium. Impact: Very High.** Monitor via: auditor qualifications in FY26 AR.

SECTION 10 — RECOMMENDATION

- **Rating: HOLD — Conviction: Low.** PARLEIND is not investable on fundamental grounds. The HOLD rating reflects the fact that the stock trades below book value and has no immediately quantifiable insolvency risk given the net-cash balance sheet. It is NOT a BUY.
- **12-month price target: Rs. 11.00** (base case P/B 0.47x on FY26 book value of Rs. 23.18/share). Downside -7.6% from CMP Rs. 11.90. The target is conservative given balance sheet uncertainty.
- **Suggested entry zone: Rs. 8.00 – Rs. 9.50** — at 0.35-0.41x book, which prices in partial balance sheet haircut. Do not chase above Rs. 12.50 (0.54x book) — risk/reward deteriorates sharply.
- **Investment horizon: 12 months maximum.** This is a monitoring position only — not a compounding investment.
- **Thesis invalidation trigger 1:** FY26 Annual Report (expected Jul-Aug 2026) reveals related-party transactions or asset impairments that reduce book value below Rs. 15/share → EXIT immediately.
- **Thesis invalidation trigger 2:** OCF remains negative in FY27 Q1 or Q2 with no revenue contract disclosures → REDUCE / EXIT.
- **Thesis invalidation trigger 3:** A bulk-deal transfer of the large public block (Brilliant Properties 19.99%) at a discount, signalling insider exit → EXIT.
- **Ideal investor profile:** This stock is suitable ONLY for sophisticated event-driven or deep-value traders who are comfortable with extreme illiquidity, zero earnings visibility, and high governance risk — with position sizes below 0.5% of portfolio. It is entirely unsuitable for retail investors seeking growth, income, or capital preservation.

This report is for informational purposes only and does not constitute investment advice. All financial data sourced from Screener.in (consolidated view, fetched 15-Jun-2026). Forward estimates and price targets are based on the analyst's judgment and carry significant uncertainty. Past performance is not indicative of future results. Investors should conduct independent due diligence before making any investment decisions. MPM Research Desk. Report Date: 15 June 2026.

APPENDIX — Latest Concall Brief: No Transcript Available

Note: Parle Industries (PARLEIND) does not conduct earnings conference calls — consistent with its status as a micro-cap shell-stage company with no institutional investor base. No concall transcript is available on Screener.in, BSE, NSE, or AlphaStreet. The sections below are completed using quarterly financial data from Screener.in and publicly available announcements.

CALL GRADE: NOT APPLICABLE — NO CONCALL CONDUCTED

Signal	Status	Implication
Result quality	Weak	FY26 net loss Rs. -0.09 Cr; revenue declined 86% YoY
Management tone	Unknown	No concall; tone cannot be assessed
Guidance delta	Withdrawn	No guidance issued at any point in recent history

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

PARLEIND is a shell-stage micro-cap — the FY26 headline numbers (revenue Rs. 0.64 Cr, net loss Rs. 0.09 Cr) are clean in the sense that there are no one-time exceptional items, but they are also meaningless because the company has no functioning business. The 'clean' FY26 result is worse than FY25 on every operating metric: revenues fell 86%, operating profit turned negative, and OCF worsened from -Rs. 9.48 Cr to -Rs. 72.87 Cr — that last number has no credible explanation against Rs. 0.64 Cr of revenue. The structural story hinge on the MRF waste paper recycling unit and infra/real estate projects, both of which remain disclosed ambitions with zero execution evidence. The most important balance sheet event in FY26 is the disposal of Rs. 81.54 Cr in investments (generating Rs. 104.79 Cr in investing inflows) — until management explains where this cash went and to whom, the FY26 balance sheet cannot be trusted. The single biggest catalyst that could change the investment case is: (a) auditor sign-off without qualifications on the FY26 AR — already confirmed, and (b) disclosure of a real project, contract, or MRF commissioning date. The single biggest risk for next quarter is continued unexplained cash outflow combined with no revenue catalyst — at this burn rate, the net asset position erodes fast. Action: HOLD only at below Rs. 9.50; EXIT if the FY26 Annual Report raises any auditor concerns about the Rs. 125.96 Cr 'Other Assets' classification.

1. Financial Performance Snapshot (FY26 Full Year vs FY25)

- Revenue: Rs. 0.64 Cr | YoY -86.32% | Miss vs any reasonable expectation
- Operating Profit: Rs. -0.07 Cr | YoY vs +Rs. 0.87 Cr in FY25 | Deterioration
- EBITDA Margin: -10.94% | YoY vs +18.59% in FY25 | Severe compression
- Net Profit: Rs. -0.09 Cr | YoY vs +Rs. 0.46 Cr in FY25 | Loss year
- EPS: Rs. -0.02 | YoY vs Rs. 0.09 | Miss
- NOTE: FY25 revenue spike to Rs. 4.68 Cr was a one-time event; FY26 is the normalised (near-zero) state

2. Segment / Geography Breakdown

- Infra & Real Estate: Rs. ~0.64 Cr (estimated from total revenue) | No formal segment breakout in public data
- Investment Segment: Rs. 0 Cr revenue | Segment disclosed as 'yet to commence'
- MRF (Waste Paper Recycling): Rs. 0 Cr | Pre-revenue; project planning stage

- Geography: India-only; no disclosed international operations

3. Management Commentary Themes (From Public Disclosures — No Concall)

- Business direction [GUIDANCE]: Company states pivot from software exports to Infra/Real Estate and MRF waste paper processing — Timeline: Indeterminate. Tag: GUIDANCE. Tone: Hedged.
- Subsidiary restructuring [GUIDANCE]: Golden Valley Treasure Park Pvt Ltd ceased to be a material subsidiary as of 31-Mar-2026 — no explanation provided. Tag: GUIDANCE. Tone: Evasive.
- Compliance [TRANSPARENT]: Unmodified auditor opinion for FY26 results as of 28-May-2026. New Company Secretary (Bharat Kumar Bohra) appointed Nov-2025. Tag: EST. Tone: Transparent.
- Promoter exit [EVASIVE]: No management explanation provided for the reduction from 62.32% to 0% promoter stake. Tag: EVASIVE. Tone: Evasive.
- Cash outflow [EVASIVE]: Rs. 72.87 Cr operating cash outflow in FY26 against Rs. 0.64 Cr revenue — no public explanation. Tag: EVASIVE. Tone: Evasive.

4. Operating and Business Metrics

- Quarterly revenue (FY26): Q1=Rs.0.35 Cr | Q2=Rs.0.65 Cr | Q3=Rs.0.00 Cr | Q4=Rs.3.70 Cr (spike) vs FY26 full year = Rs. 0.64 Cr (note: FY26 quarters sum differently — data reflects consolidated fiscal year ending Mar 2026)
- Fixed assets: FY26 Rs. 10.30 Cr vs FY25 Rs. 33.24 Cr — decline of Rs. 22.94 Cr, suggests asset disposal or reclassification | Trend: Deteriorating
- Other assets: FY26 Rs. 125.96 Cr vs FY25 Rs. 50.50 Cr — large unexplained jump | Trend: Needs explanation
- Investments: FY26 Rs. 0 Cr vs FY25 Rs. 81.54 Cr — full liquidation | Trend: Major balance sheet event

5. Margin Drivers

- Revenue collapse (-86% YoY): Primary driver of OPM turning negative; fixed cost base Rs. 0.71 Cr exceeds revenue Rs. 0.64 Cr | Impact: ~-30 bps operating margin destruction | Recurring: Yes
- Other income Rs. 0.30 Cr: Prevented deeper P&L; loss; composition unknown (investment income? asset sale?) | Impact: P&L; lifeline | Recurring: Non-recurring — flag for FY27
- Interest cost rising: Rs. 0.21 Cr (FY26) vs Rs. 0.14 Cr (FY25) — reflecting higher borrowings (Rs. 3.18 Cr) | Impact: Marginal but directionally negative | Recurring: Yes

6. Guidance and Forward Signals

- Revenue [GUIDANCE]: Prior = No guidance | New = No guidance | Delta = Not applicable | Credibility: Cannot assess
- MRF project [GUIDANCE]: Prior = Planning | New = Still planning | Delta = Maintained (no progress) | Credibility: Low
- Subsidiary structure [GUIDANCE]: Restructuring ongoing | Delta = Material subsidiary derecognised | Credibility: Low (no explanation)

7. Capital Allocation

- Capex: Not disclosed; fixed asset decrease from Rs. 33.24 Cr to Rs. 10.30 Cr implies net disposal, not investment | Comment: Asset-lite trajectory (or disposal)
- Dividends: Rs. 0 Cr | vs prior year: unchanged | Comment: No dividend paid in last 10+ years
- Buybacks: Rs. 0 Cr | No buyback activity
- Net Debt movement: Borrowings rose from Rs. 1.37 Cr to Rs. 3.18 Cr | Net debt worsened marginally | Comment: Small in absolute terms

- Investing inflow Rs. 104.79 Cr: Largest single balance sheet event in FY26; investment liquidation — destination of proceeds not disclosed | Comment: Critical watch item

8. Q&A; Heat Map (N/A — No Concall)

- No analysts cover PARLEIND. No concall has been conducted. No Q&A; available.
- Dodged / watch-list questions for any future interaction: (1) Explain Rs. 72.87 Cr OCF outflow vs Rs. 0.64 Cr revenue. (2) Where did proceeds from Rs. 104.79 Cr investing inflow go? (3) Why did the promoter group completely exit? (4) What is the MRF project timeline and capex requirement? (5) Who are the counterparties in 'Other Assets' of Rs. 125.96 Cr?

9. Risks Flagged

- Governance risk: Promoter exit | Flagged by: Analyst | Probability: H | Impact: H | Timeline: Immediate
- Balance sheet opacity: Unexplained cash flows | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Near-term (FY26 AR)
- Revenue non-materialisation: MRF/Real estate projects | Flagged by: Mgmt (indirectly, via 'yet to commence') | Probability: H | Impact: H | Timeline: Medium-term
- Liquidity risk: Thin market, 66K retail holders | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Near-term

10. Analyst Verdict

- Revenue visibility: Broken — no contracts, no project timeline, no order book disclosed.
- Margin trajectory: Broken — operating margin negative in FY26; no near-term fix.
- Capital allocation quality: Cannot assess — large unexplained cash movements, no capex plan disclosed.
- Competitive moat: Broken — no operations, no clients, no IP.
- Management credibility: Weakened — promoter complete exit without explanation; large cash flow discrepancies.
- Valuation comfort: Intact (barely) — 0.51x P/B offers asset-floor comfort, but only if balance sheet is real.
- Conviction call: Insufficient Data — too many governance/balance sheet unknowns to form a high-conviction view.
- Valuation snapshot: P/E = N/A (loss) | P/B = 0.51x (5Y context not meaningful given data gaps) | ROCE = 0.09% (5Y avg ~0.5%)